

Chapter – 4

Importance of MOU for SAIL

4.1 Concept of Memorandum of Understanding (MOU):

The concept of MOU arose from the report of Arjun Sengupta Committee. SAIL was among the first Public Sector Undertakings to enter into MOU (first time in 1987-88). Since then, SAIL has been entering into MOU with the Ministry of Steel.

Purpose and Scope of MOU:

The purpose of the MoU is to measure the performance of SAIL on key selected parameters against the targets agreed upon so as to improve the critical performance indicators of the organization. The MOU envisages the performance expectations of Government of India from SAIL. The MoU enables SAIL to operate as an efficient public sector commercial enterprise within the broad policy objectives set by the Government and the requirements of Parliamentary Accountability.

The MoU in respect to SAIL is being finalized by Department of Public Enterprises [DPE] on consolidated basis only (i.e. including all subsidiaries and JVs of SAIL). MoU target setting and its evaluation in respect of SAIL's subsidiary maybe done by SAIL on the same principles as being followed for SAIL by DPE.

4.2 The MOU Framework:

The parameters included in the MoU process are market oriented reflecting the shareholders' interest in terms of growth in revenue, return on net worth, asset turnover ratio and market capitalization for listed CPSEs.

The parameters are further indexed to past performance and future projections of the CPSE; vision of the Administrative Ministry; sectoral benchmarking and peer comparison (if any). Vision provided by the Administrative Ministry is also considered for Benchmarking.

All the parameters are quantifiable and verifiable from the documents in public domain.

Besides certain government's priorities/ programmes such as CSR, procurement from MSEs, etc. are also included for compliance by CPSEs. the non-compliance of which would result in deduction of full marks i.e., there would not be any partial deduction.

Part 1: Main Parameters

S.No.	Parameter	Unit	Wt.	Target 2025-26
1	Revenue from Operations	₹ Crore	7	126667
2	Production of Finished Steel	Lakh Tonne	20	180
3	Supply of Speciality Steel supplied in Defence, Nuclear, Aerospace and other strategic sectors	Lakh Tonne	5	1.00
4	Production of Iron Ore for other than Captive Use	Lakh Tonne	5	50.00
5	Capital Expenditure	₹ Crore	10	7500
6	Fuel Rate	Kg / THM	5	500
7	HR Productivity	Tonne / Employee	5	187
8	EBITDA (as a percentage of Total Income)	%	10	16.00
9	Return on Capital Employed	%	10	15.46
10	Asset Turnover Ratio	%	4	85.57
11	Expenditure on R&D (including Innovation Initiatives, as percentage of previous 3 years average PBT)	%	4	6.00
12	Total Return to Shareholders	%	15	100.00
Total			100	

Part 2: Compliance Parameters

S.No.	Parameter	Marks	Source/ Verification
1	DPE guidelines on CSR expenditure	-1	Administrative Ministry based on Board Resolution/Annual Report, and inputs from CSR Cell of DPE
2	Provisions in the Companies Act, 2013 [or SEBI (LODR) regulations in case of listed entities] on Corporate Governance: a. Composition of Board of Directors b. Board Committees c. Holding Board and Committees' Meetings d. Related Party Transactions e. Disclosures and Transparency	-3.0	Administrative Ministry on the basis of CAG/ Statutory/ Secretarial Auditor Report(s)/ Annual Report
3	Onboarding of CPSE on all operational TReDS platforms	-0.5	MSME Sambandh/ TReDS portals
4	Timely payments to MSE vendors as prescribed in MSMED Act	-3.0	MSME Samadhaan/ TReDS portals/ Administrative Ministry based on Annual Report/ any other authentic source
5	Procurement of goods and services (as % of total procurement), from: a. MSEs overall – 25% b. SC/ST owned MSEs – 4% c. Women owned MSEs – 3%	-2	MSME Sambandh portal/ Annual Report/ PE Survey
6	Steps and initiative taken for Health & Safety improvement of Human Resources in CPSEs	-1	Administrative Ministry based on Board Resolution [targets have been prescribed by Administrative Ministry]
7	Targets under PM Internship scheme of MCA	-1	Ministry of Corporate Affairs and / or Administrative Ministry based on Board Resolution/ Annual Report [Applicable to the CPSEs participating as partner companies]
8	Leadership Development Plan	-1	Inputs from concern Division of DPE and / or Administrative Ministry
9	Surplus non-core assets (land & building) monetization plan.	-1	DPE by plan submitted through Administrative Ministry within prescribed timelines.

4.3 Digital dashboard:

A digital dashboard with a centralized portal developed by DPE is being used for entering, signing, monitoring and evaluating MoU agreements. The CPSEs and Administrative Ministries would be on boarded with appropriate user roles.

4.4 MoU Evaluation:

Once the Company's data from its audited balance sheet and P&L Statement is available on the dashboard, the score would be automatically calculated against the benchmarked targets. There would be no adjustment in MoU agreement due to changes in **MoU exchange rate, prices of raw material or finished goods or due**

to offset for any other reason as these are deemed to be normal business activity and audited statement of accounts declared shall prevail. The criterion for evaluation of score is as below:

- Proportionate marks for achievement of 50% to 100% Targets - Applicable to all parameters unless specified by DPE for a certain parameter.
- No marks for achievement below 50.00% of Targets.
- Score on all parameters would be added to arrive at aggregate score.

Besides certain government's priorities/ programmes such as CSR, procurement from MSEs, etc. are also included for compliance by SAIL, the non-compliance of which would result in deduction of full marks i.e., there would not be any partial deduction.

The Final aggregate Score is arrived at after deduction of marks towards non-compliance from the aggregated score.

MoU Rating:

The MoU rating of CPSEs will be assigned as per the following Table:

MoU Score	MoU Rating
>= 90	Excellent
>=70	Very Good
>=50	Good
>=33	Fair
<33	Poor
